Economics
March 6, 2026

# Retail Sales Start Year on Decent Note, February Looks Weaker

Economic Indicator


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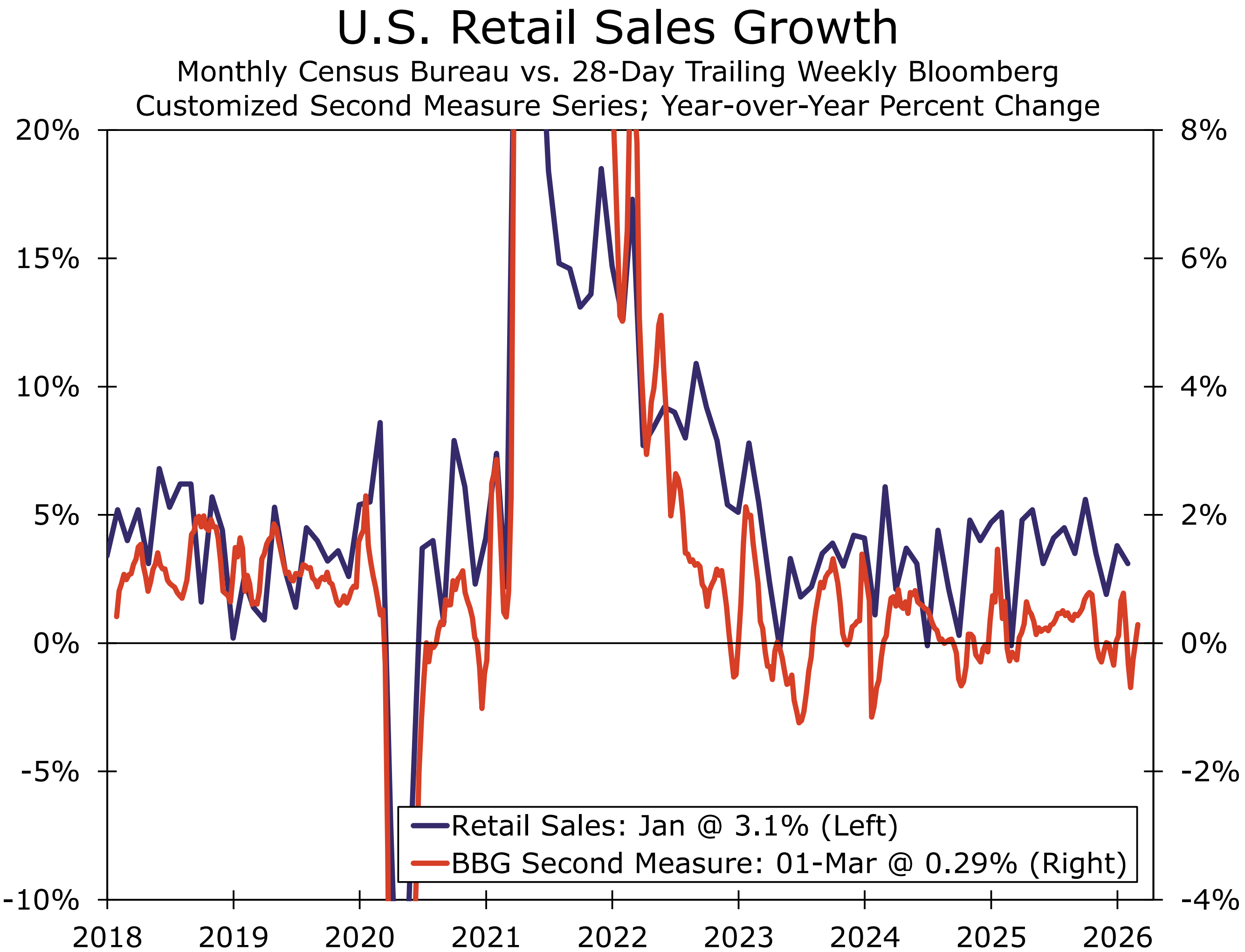
Retail sales started the year on a decent note, but early signs of February consumption suggest some more-recent weakness. The drop in headline sales was traced mostly to a decline in auto and gasoline sales, whereas control group sales rose 0.4% with upward revisions to past data. After what looks to be a weather-induced slowdown in February, we expect consumption to recover into March as higher tax refunds begin to more meaningfully lift spending. One big caveat will be how gas prices evolve in the wake of the conflict in Iran with households sensitive to the price at the pump.



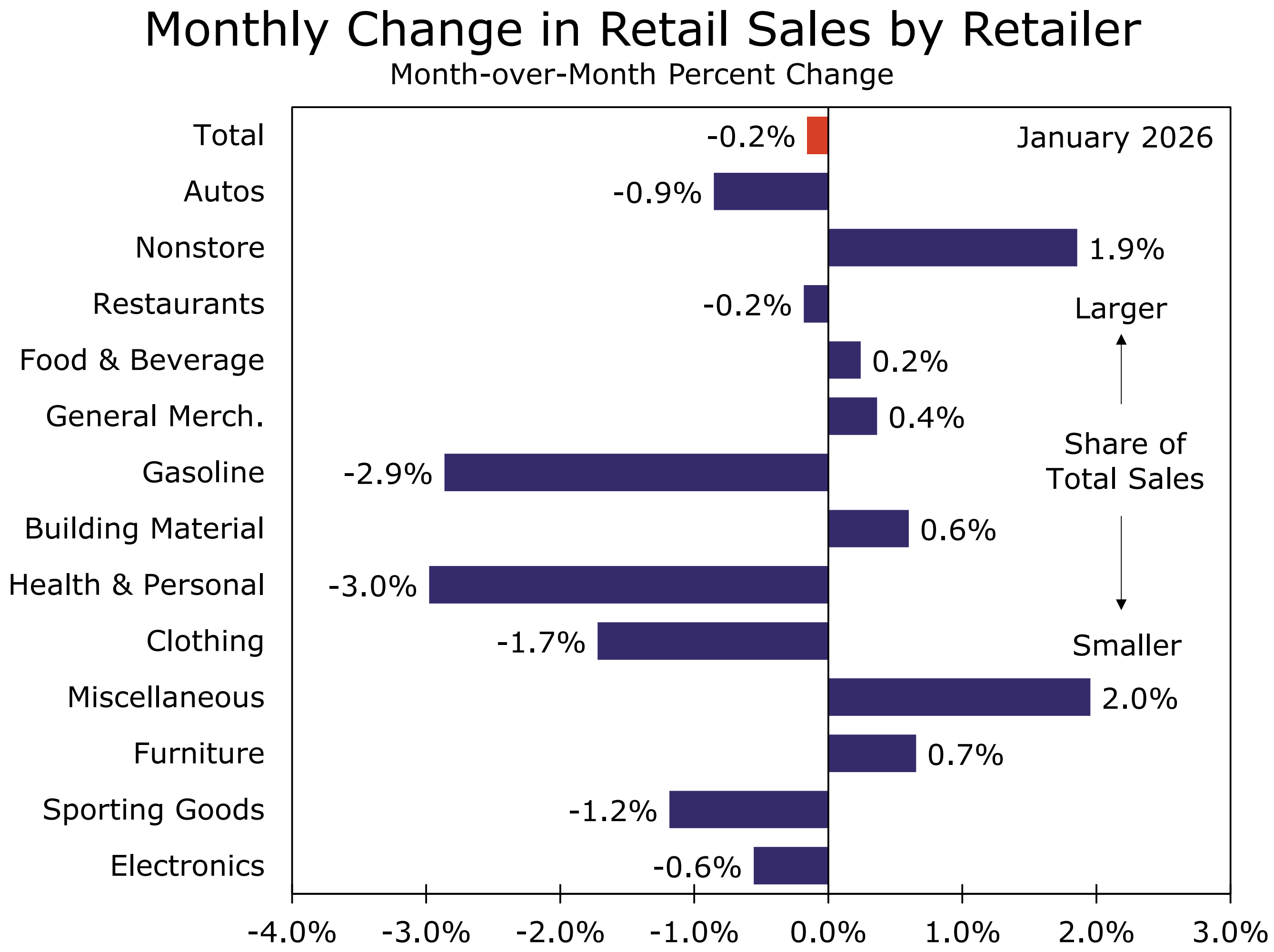
Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

## Retail Sales Sturdier than Headline Suggests

The January retail sales data came in largely as anticipated and reflect a consumer that continued to spend into the New Year. While overall retail sales slid 0.2% during the month, when you strip out some of the more volatile components the control group measure of sales rose 0.4% with some modest upward revisions to the prior months of data. This suggests goods consumption started the year on a good note given this component tracks more closely with overall goods spending, as the excluded components (autos, gas, building materials & restaurants) are included elsewhere within GDP or through other source data.

One big note of caution though is that these data are even more backward looking than usual as the government continues to catch up on data releases following the historic shutdown last Fall. Retail spending in February looks a bit weaker. High-frequency data on credit card spending from Bloomberg show a weaker average year-ago pace of spending registered in February as historic winter weather across the Northeast and other parts of the country likely dented consumption.

As far as January is concerned, most of the weakness in headline sales can be traced to sales at auto dealers and gasoline stations. Vehicle unit sales slipped to their lowest pace since late 2022 in January. Meanwhile the drop in gasoline sales reflects a decline in retail gasoline prices specifically with the average daily price at the pump down about six-cents/gallon from December.




Source: U.S. Department of Commerce and Wells Fargo Economics

This weakness was somewhat offset by a pop in sales at building material stores, which was also likely at least partially price related, as the consumer price index for tools, hardware & outdoor equipment has been strong in recent months. Restaurant sales slipped 0.2% in January, which isn't an encouraging sign for broader services spending, but isn't overly worrying either, as high-frequency credit card data suggest some stabilization in restaurant spend after a drop-off toward year-end.

That said, we're not looking for much improvement in broad retail come February. Incoming data suggest some softness in activity, including: poor weather, subdued credit card spending, and weak orders activity reported by retail purchasing managers. Leisure & hospitality employment also slipped materially during the month, though there was some stabilization in travel-related measures of data like hotel occupancy and TSA throughput.

With tax refunds running ahead of last year's averages, we should start to see more cash flow materially support spending come March. One big caveat here is how the conflict in Iran evolves and its impact on domestic retail gasoline prices. Consumers are fairly sensitive to gas prices and the average price of a gallon of gasoline is already up by twenty-five cents in the first week of March compared to the average registered in February on the national level. Higher prices will boost these nominal retail figures, but would translate to lower *real*, or inflation-adjusted consumption. More cash flow stemming from higher average refunds is a factor we expect to offset spending weakness this year, but higher prices at the pump may dent confidence or sap up some of those funds.

**U.S. Retail Sales: January 2026**

| | Feb-25 | Mar-25 | Apr-25 | May-25 | Jun-25 | Jul-25 | Aug-25 | Sep-25 | Oct-25 | Nov-25 | Dec-25 | Jan-26 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Retail Sales** (MoM) | 0.1 | 1.5 | -0.1 | -0.8 | 1.0 | 0.6 | 0.5 | 0.1 | -0.2 | 0.5 | 0.0 | **-0.2** |
| **Retail Sales, Ex. Autos** (MoM) | 0.6 | 0.6 | 0.0 | -0.1 | 0.9 | 0.4 | 0.6 | 0.1 | 0.2 | 0.4 | 0.0 | **0.0** |
| **Control Group Sales** (MoM) | 1.2 | 0.5 | -0.2 | 0.3 | 0.9 | 0.5 | 0.7 | -0.2 | 0.5 | 0.2 | 0.0 | **0.4** |
| **Real Retail Sales** (MoM) | 0.0 | 1.8 | 0.0 | -0.7 | 0.7 | 0.6 | 0.1 | -0.4 | -- | -- | -0.2 | **0.0** |
| **Retail Sales** (YoY) | 3.9 | 5.1 | 5.0 | 3.4 | 4.4 | 4.1 | 5.0 | 4.1 | 3.2 | 3.2 | 2.4 | **3.2** |
| **Retail Sales, Ex. Autos** (YoY) | 4.3 | 4.2 | 4.1 | 3.7 | 4.0 | 4.0 | 4.8 | 3.8 | 3.7 | 4.1 | 3.3 | **3.9** |
| **Control Group Sales** (YoY) | 5.7 | 5.4 | 5.2 | 4.9 | 4.7 | 5.0 | 5.9 | 4.1 | 4.6 | 4.8 | 3.5 | **4.9** |
| **Real Retail Sales** (YoY) | 3.3 | 5.1 | 5.1 | 3.3 | 3.7 | 3.3 | 3.6 | 2.2 | -- | 1.4 | 0.8 | **2.1** |

Notes: MoM = Month-over-Month Percent Change
YoY = Year-over-Year Percent Change

Source: U.S. Department of Commerce and Wells Fargo Economics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All estimates/forecasts are as of 3/6/2026 unless otherwise stated. 3/6/2026 9:53:16 EST.

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